

# KRN Heat Exchanger and Refrigeration Ltd

Concall Tracker — reading the earnings calls to judge the earning trigger & management consistency · Report date: 5 July 2026 · Screener ticker: KRN

**What the company does, in one line:** KRN makes the coils (heat exchangers) that sit inside cooling and refrigeration machines — the finned aluminium/copper tubes that move heat in air-conditioners, data-centre cooling units, bus air-conditioning, cold-storage and refrigerators. It sells these parts to big equipment makers (a business-to-business model), with Daikin and Schneider Electric among its largest customers. It listed on the stock market in October 2024.

## 1. Snapshot

| Measure                       | Value                                  | Plain-English read                                                                                                                                |
|-------------------------------|----------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------|
| Market value (market cap)     | ₹7,952 crore                           | What the whole company is worth on the stock market today — about ₹79.5 billion.                                                                  |
| Latest-year sales (FY26)      | ₹610 crore (consolidated)*             | Total money earned from selling parts in the year to March 2026, up about 38% on last year — sales grew by more than a third.                     |
| Latest-year profit (FY26)     | ₹76 crore (consolidated)               | The money left after all costs, up about 45% — profit grew nearly by half.                                                                        |
| Operating margin (OPM)        | ~13% (standalone), ~18% (consolidated) | Out of every ₹100 of sales, about ₹13–18 is operating profit before interest, tax and wear-and-tear. This has slipped from ~19–20% two years ago. |
| Return on capital (ROCE)      | 16.1%                                  | For every ₹100 of money put into the business, it earns about ₹16 a year before tax — decent but down from 40%+ before the big expansion.         |
| Share price / valuation (P/E) | ₹1,215 · P/E 112                       | Investors are paying about 112 times one year's profit — a very rich, high-expectation price that assumes fast growth continues.                  |
| Dividend                      | 0%                                     | Pays no dividend — all cash is being ploughed back into growth.                                                                                   |

\*The company reports two sets of numbers: "standalone" (just the parent) and "consolidated" (parent + subsidiaries). Oddly, consolidated sales (₹610 cr) are lower than standalone (₹690 cr) because sales between the parent and its new HVAC subsidiary are cancelled out. Screener's downloadable tables are the standalone set. Where they differ, this report uses the consolidated figures management quoted on the calls and flags the gap.

## 2. Concall coverage

KRN listed in October 2024, so its concall history is short. All available transcripts were read — this is the company's **complete** call record so far (7 calls, about 1.75 years, Q2 FY25 to Q4 FY26). Ordered oldest to newest:

| Quarter                | Call date   | Transcript read? |
|------------------------|-------------|------------------|
| Q2 FY25 (Jul–Sep 2024) | 6 Nov 2024  | Yes — full       |
| Q3 FY25 (Oct–Dec 2024) | 3 Feb 2025  | Yes — full       |
| Q4 FY25 (Jan–Mar 2025) | 15 May 2025 | Yes              |
| Q1 FY26 (Apr–Jun 2025) | 1 Aug 2025  | Yes              |

|                        |             |                     |
|------------------------|-------------|---------------------|
| Q2 FY26 (Jul–Sep 2025) | 6 Nov 2025  | Yes                 |
| Q3 FY26 (Oct–Dec 2025) | 9 Feb 2026  | Yes                 |
| Q4 FY26 (Jan–Mar 2026) | 15 May 2026 | Yes — full (latest) |

The latest call (Q4 FY26, 15 May 2026) was present and read in full — no gap on the newest call.

## Latest concall highlights — Q4 & full-year FY26 (call on 15 May 2026)

- **Full-year sales grew by more than a third.** FY26 consolidated total income was ₹609.81 crore, up 38% (standalone ₹689.95 crore, up 57%). Consolidated profit was ₹76.47 crore, up about 45% — profit grew nearly by half.
- **The big new plant is finally fully open.** The 6-times-larger Neemrana (Rajasthan) factory, built under subsidiary KRN HVAC Products, was fully commissioned and inaugurated on 11 March 2026. Management now targets 50% use of the new plant in FY27 and 80% in FY28 — the old plant is already running full.
- **A share-sale (QIP) of up to ₹500 crore is on the table, mainly for working capital.** This is a notable shift: earlier the company said the expansion would be funded from its IPO money and internal profits. A ₹500 crore raise could dilute existing shareholders.
- **New growth engines showing early traction.** Data-centre cooling is now about 16–19% of sales (up from ~7% two years ago), with approval won from global cooling major Vertiv. Bus air-conditioning (a new segment) did ₹10 crore in FY26 and is targeted at ₹150 crore / 15% market share in FY27. Railways bar-and-plate coolers cleared trials and the company was lowest bidder (L1) in three tenders.
- **Working-capital bloat is the main worry analysts pressed on.** Inventory roughly tripled and receivables rose; management blames a delayed ₹120 crore UAE order, stocking for new product lines and an import-rule (BIS) issue, and promises normalisation over the next 2–3 quarters. Tone: confident on demand, but repeatedly defending cash tied up in the business.

## 2b. Business mix & capacity (quick-glance)

**Domestic vs export split:** roughly **84% India / 16% exports** in FY25 (exports ₹67.5 cr of ₹441 cr). In FY26 exports were about ₹100 crore — still roughly a sixth of sales. In plain terms, five-sixths of sales are still within India; the export push (UAE, USA, Canada, Europe) is real but small so far. Management's earlier target of 30–35% exports by FY26 was *not* met; the goal has been pushed to ~50% "in three years."

**Capacity use:** the original KRN Heat plant is running at **~100% (management says "full")**. The new Neemrana plant ran at only about **15–20% in FY26** (it was ramping up), with targets of 50% in FY27 and 80% in FY28. Plain read: there is a large amount of unused new-plant capacity that must fill up for the growth story to pay off — that filling-up is the whole thesis.

## 3. Earning-trigger thesis ★

The headline driver KRN keeps repeating across every call is simple: it has built a **six-times-larger factory and added many new product lines, and now has to fill that capacity**. The pitch is that revenue can grow to roughly **5–6 times the FY25 level (about ₹2,250–2,850 crore) over about three years**, powered by (a) fast-growing data-centre cooling, (b) new segments — bus air-conditioning, railway

coolers, refrigerator components, dry coolers, ammonia coolers, and (c) a bigger export share as China faces anti-dumping duties in the US/Europe (a "China-plus-one" tailwind). The capacity is genuinely built and revenue has already started inflecting hard (+38% to +57% in FY26), so this is a concrete, live driver — not a promise on paper. The open questions are margins (falling during ramp-up) and how fast the empty new capacity actually fills.

| Trigger                                            | What management said                                          | Evidence so far                                                                                       | Time horizon   | Strength                                                                                      |
|----------------------------------------------------|---------------------------------------------------------------|-------------------------------------------------------------------------------------------------------|----------------|-----------------------------------------------------------------------------------------------|
| 6x capacity expansion (Neemrana plant)             | Fill it to reach ~5–6x FY25 revenue in ~3 years               | Plant fully built & inaugurated Mar 2026; FY26 sales already +38–57%; but new plant only ~15–20% used | FY27–FY29      | <b>Moderate–Strong — capacity is real and revenue is rising, but full ramp still unproven</b> |
| Data-centre cooling                                | Fastest-growing end market; win global cooling OEMs           | Grew from ~7% to ~16–19% of sales; Vertiv approval won; Schneider is largest domestic buyer           | Now & building | <b>Strong — clearly playing out</b>                                                           |
| New segments: bus AC, railways, refrigerator parts | Bus AC ~₹150 cr / 15% share FY27; railway coolers via tenders | Bus AC ₹10 cr FY26 + acquired a bus-AC division; railway approvals & L1 in 3 tenders                  | FY27+          | <b>Moderate — early, real orders starting</b>                                                 |
| Export ramp (China-plus-one)                       | Lift exports to 30–35% (FY26), then ~50%                      | Exports flat at ~16% of sales; FY26 target missed; UAE order delayed                                  | Slipping right | <b>Weak so far — target repeatedly missed on timing</b>                                       |

#### 4. Management consistency scorecard

| Period / promise made | What was promised                                                      | What actually happened                                                                                                         | Verdict                     |
|-----------------------|------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------|-----------------------------|
| Q2 FY25 onward        | New plant "sample production April 2025", mass production from Q2 FY26 | Slipped ~2 months to 31 May 2025; office/full facility only inaugurated Mar 2026; ramp pushed to FY27–28                       | Partly — delivered but late |
| Every call            | Keep growing revenue fast                                              | FY25 +40%, FY26 +38% (consolidated) / +57% (standalone). Clearly delivered                                                     | Delivered                   |
| Q2–Q4 FY25            | Sustain ~19–20% operating margins                                      | Margins fell to ~13% (standalone) / ~18% (consolidated) — blamed on ramp costs, training, depreciation, low-margin scrap sales | Missed                      |
| Q4 FY25               | Exports to 30–35% of sales by FY26                                     | Stayed ~16%; target quietly reset to "~50% in 3 years"                                                                         | Missed / reset              |
| FY25                  | Win government support (PLI, RIPS incentives, railway approval)        | PLI of ₹141.72 cr sanctioned; railway vendor approval & L1 tenders won                                                         | Delivered                   |
| Early calls           |                                                                        | Now seeking a QIP share sale of up to ₹500 cr, mainly for working capital                                                      | Dropped / reversed          |

|         |                                                                                |                                        |           |
|---------|--------------------------------------------------------------------------------|----------------------------------------|-----------|
|         | Fund the expansion from IPO money + internal profits (no big dilution implied) |                                        |           |
| Q4 FY26 | Fill 6x capacity, reach ~5–6x revenue in 3 years                               | Too early — new plant only 15–20% used | Too-early |

**Narrative drift:** The core story — "big capacity + diversify into data centre, bus AC, railways and exports" — has stayed remarkably steady and has evolved sensibly (new products keep getting added under the same umbrella). Revenue delivery has been strong. But three cracks show: (1) the plant timeline kept slipping; (2) the promised ~19–20% margin was missed as ramp-up and a ballooning working-capital cycle bit; and (3) the funding story reversed from "self-funded" to a possible ₹500 crore share sale. Management is candid and answers detailed questions, but the numbers-shy style ("I cannot share a number") and the repeated working-capital defences temper confidence.

## 5. Bottom line — two verdicts

Durable earning trigger? → **YES**

There is a clear, concrete, still-live driver: a six-times-larger factory that is actually built and open, feeding fast-growing end markets (data-centre cooling, bus AC, railways, exports). It is not a paper promise — sales already jumped 38–57% in FY26 and data-centre revenue climbed to ~16–19%. The trigger clearly exists and is playing out. The caveats (compressed margins, an only-15–20%-used new plant, and heavy working capital) affect the *quality* and *pace* of the payoff, not the existence of the trigger — so this is a genuine Yes, not softened.

Management consistent? → **MAYBE**

The record is genuinely mixed. On the plus side, the growth story has stayed steady for seven straight calls and revenue delivery has been strong, with government approvals (PLI, railways) actually landing. On the minus side, the plant timeline slipped, the margin promise (~19–20%) was clearly missed, the export-share target was reset, and the funding plan U-turned from "self-funded" to a possible ₹500 crore share sale amid a swelling working-capital cycle. That is a "delivered the headline, missed several of the specifics" pattern — solidly a Maybe, and worth watching whether FY27 margins recover and the new-plant ramp and dilution play out as promised.

Sources: KRN Heat Exchanger and Refrigeration Ltd earnings-call transcripts Q2 FY25 (6 Nov 2024) through Q4 FY26 (15 May 2026), sourced from Screener.in; Screener.in financial snapshot & statement tables. All figures as reported by the company; standalone vs consolidated differences flagged in the text. This is an educational summary of management's own statements, not investment advice.